

Ch 2 FUNCTIONING / MONETARY POLICY



European Business & Economics

Ch 1 : Context

*European Idea
Institutional & Substantive Law
Single Market, EU Trade & Global Europe*

 **= Contexts**

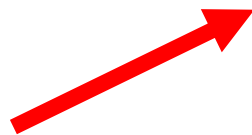
Ch 2 : Functioning

Macroeconomic Governance under EMU

 **= Consequences**

Monetary Policy

*Fiscal Policy
EURO Story in History*



Ch 3 : Policy

Ch 4 : Businesses

European Business & Economics

The Economic & Monetary Union (EMU)



from : https://economy-finance.ec.europa.eu/economic-and-monetary-union_en

= understanding the ARTICULATION between « E » and « M » !!!!!

= our objective in this section !!!



Go to...

<https://www.adobe.com/express/feature/image/qr-code-generator#:~:text=Absolutely.,%2C%20and%20you're%20done.>

(From Free QR-CODE Generator : ADOBE)



[Business, Economy, EURO](#)
EU Commission Official Website

Monetary policy

Monetary policy for the euro area is managed through the European Central Bank (ECB) and the national central banks of the euro area countries, which together make up the Eurosystem.

Decisions on monetary policy in the euro area can only be taken by the governing council of the ECB, made up of

- the governors of the national central banks of the euro area countries
- the members of the ECB's executive board

These decisions are made free from outside influence. EU countries outside the euro area coordinate their monetary policy with the ECB within the European system of central banks.

The treaty lays down the ECB's mission which is to ensure price stability within the euro area. The ECB aims to keep price inflation in the euro area below but close to 2% over the medium term. This 2% inflation target is considered optimal for promoting growth and employment.

For more details, visit the [dedicated pages on the website of the ECB](#)

Logic behind the EMU...

Monetary Policy

Monetary Union
Maastricht Treaty
ESCB / ECB
Single Currency
Interest Rates
Exchange Rates
Supervision & Sanction

= UNIFICATION !!!

Fiscal Policy

Economic & Social Union
Maastricht Treaty
Stability & Growth Pact
European Semester
Cohesion & Cooperation
Supervision & Sanction

= COORDINATION !!!



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Ch 2 FUNCTIONING : Key Takeaways (from p 42 to 43)

Macroeconomic Indicators

(National vs EU / Economic vs Monetary)

EU Governance

(National vs EU / Economic vs Monetary)

Mechanism

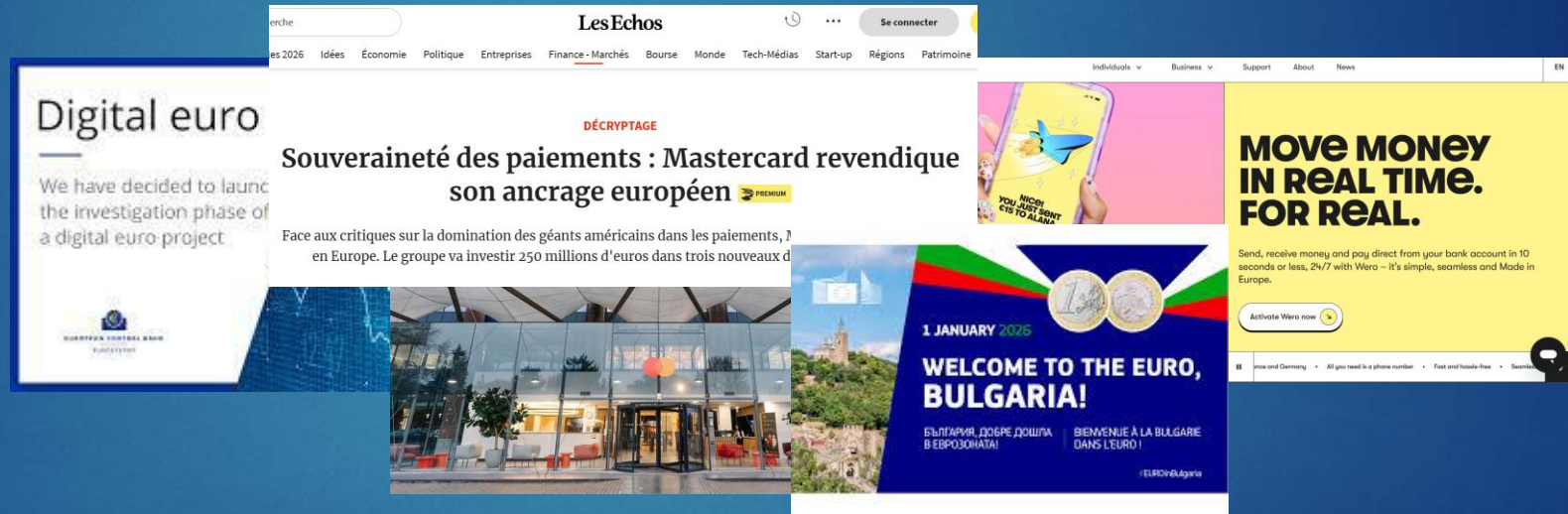
(Institutions - Supervision – Prevention – Correction – Sanction)

Legal Background

(Maastricht – Lisbon)

European Business & Economics

What is the *real*
function of Money ?



Click on picture for
explanations

What is the *real*
function of a Bank ?

European Business & Economics

What is the *real*
function of Money ?



What is the *real*
function of a Bank ?



Digital EURO : a debate

European Business & Economics

arte Guide TV Direct Bientôt en ligne ARTE Concert

Histoire

La fabuleuse histoire de l'argent

Disponible jusqu'au 27/07/2026 | ©

D'or, d'argent, de bronze ou de papier, la monnaie raconte 2 700 ans d'histoire humaine. Instrument indispensable aux échanges marchands et symbole de pouvoir, elle fut le carburant de l'expansion des empires et a bouleversé le cours des civilisations. De cauris antiques à l'essor des premiers billets de banque et aux cryptomonnaies, cette série en quatre épisodes décrypte le rôle de l'argent dans l'histoire.

▶ Regarder (1/4) + Ajouter à la liste

Toutes les vidéos



La fabuleuse histoire de l'argent (1/4)
Et l'homme créa la monnaie



La fabuleuse histoire de l'argent (2/4)
L'ère des empires



La fabuleuse histoire de l'argent (3/4)
La voie chinoise



La fabuleuse histoire de l'argent (4/4)
Et l'argent devint virtuel

See VIDEO ARTE / Nov 2025

Logic behind the EMU...

Macroeconomic Policy (European Level)

Objectives

National

Supranational

Short-Term

Long-Term

Short-Term

Long-Term

Instruments

(Monetary Policy) Fiscal Policy

Fiscal Policy

Monetary Policy

« Shared » or Exclusive Competences

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Activity

- Listen to the ECB presentation : [European Central Bank explained](#)
- Fill in page 52 & 53 « the ECB is...and the role in the ECONOMY is... »



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Monetary Policy / Overview

ONE Monetary *Union* & ONE Monetary Policy



Treaty of Maastricht

ESCB (ECB, Eurosystem/Eurozone, Eurogroup/ EcoFin)

Single Currency

Interest Rates

Exchange Rates

CMU & Banking Union

Monitoring

Surveillance & Prevention

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...from History to
Economy...



“ Fr ” OK Reunification

IF

“ D ” OK Single Currency

Geopolitical Change : Fall of Berlin Wall (see Historical Background)

It became then possible to consolidate the European Area : The Internal Market (4 Freedoms)

Ultimate Integration possible now : the Euro

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Monetary Policy

Economic policy covers a wide range of measures which governments use to manage their economy. These include monetary policy (money supply and demand), taxation, budget, job creation, etc. In the European Union (EU), although economic policy is the responsibility of each EU country, there is considerable multilateral coordination of economic policies between the individual countries,



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EU Law

Treaty of Maastricht

(Treaty on European Union, 1992)

Treaty of Maastricht Title VI Economic & Monetary Policy

Ch 1 Economic Policy (art 102) & Ch 2 Monetary Policy (Art 105)

Convergence Criteria & Single Currency

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Assignment

Search on the web the following:

- FX rates against main currencies
- ST rates for deposits - savings and loans (credit cards)
- LT rates for loans (consumers loans ; mortgage loans , corporate bonds)

Make your € Assessment

Segment	Pros	Cons	Comments
Bank			
Citizen			
Corporations			



Theory : What is the EUROSISTEM ?

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Monetary Policy / Overview

ONE Monetary *Union* & ONE Monetary Policy

Treaty of Maastricht

ESCB (ECB, Eurosystem/Eurozone, Eurogroup/ EcoFin)



We are HERE !!!

Single Currency

Interest Rates

Exchange Rates

CMU & Banking Union

Monitoring

Surveillance & Prevention

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European Central Bank (ECB)

Official Institution

(Art 13 Treaty on European Union)

Sole Issuer of Euro

Independence

Safeguarding Price Stability

Monetary Policy Instruments

(conventional & non- conventional)

Safety & Efficiency of Payment System

Reserve Currency

Banking Supervision

European Business & Economics

European System of Central Banks (ESCB)

ESCB

ECB & EUROSYSTEM

Eurogroup & ECOFIN

(March Eurogroup Meeting & ECOFIN Council of Ministers)

Monitoring

Surveillance & Prevention

Correction

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EUROGROUP



Highlights Eurogroup to update

From : <https://www.consilium.europa.eu/en/press/press-releases/2025/07/07/eurogroup-statement-on-the-fiscal-stance-for-the-euro-area-in-2026/>

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EUROGROUP LIVE VIDEO / an example



INCLUSIF
Eurogroup

10 March 2025
Brussels



Highlights Eurogroup Europe LIVE (01:59 ; March 10, 2025)

From : <https://www.youtube.com/watch?v=-0RcNeLQOCk>

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Monetary Policy / Overview

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Single Currency

Interest Rates



We are HERE !!!

Exchange Rates

CMU & Banking Union

Monitoring

Surveillance & Prevention

European Business & Economics

Eurozone Liquidity

Providing the bulk of liquidity to the banking system.

Interbank vs Key ECB Rates

the main refinancing Rate

the marginal lending Rate (= overnight credit from ECB to banks)

the deposit interest Rate (overnight bank deposits at ECB)

Transmission Mechanism of the ECB Monetary Policy
(Consumers & Entrepreneurs)

Reminder !

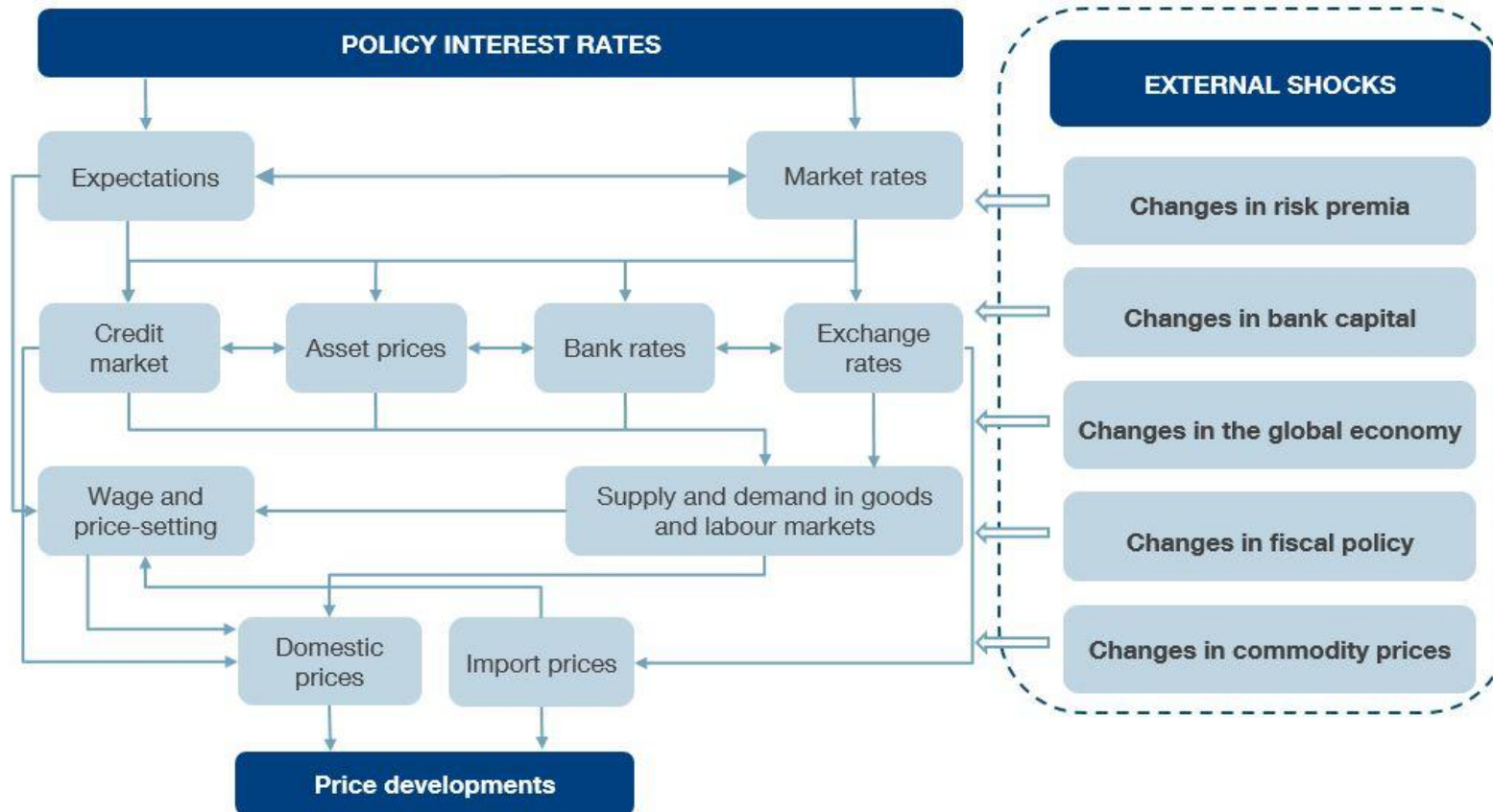
Liquidity
≠
Solvency

Remember

- The ECB offers banks the facility to borrow money from it. Banks make use of the lending facility when they are short of funds. The banks pay interest on the loan, which is called the refi rate or refinancing rate. When reference is made to the European interest rate, this often refers to the ECB refi rate.
- There is a strong response of interbank interest rates (like the Euribor) to changes in the ECB refinancing rate. By raising or lowering interest rates the ECB can exercise indirect influence over the interest levels that the banks apply to interbank transactions, business loans, consumer loans, mortgages and savings accounts, amongst other things.
- Fixed rate on the main refinancing operations with effect from 12 March 2025: 2,65%. Rate on the marginal lending facility with effect from 12 March 2025: 2.90%. Deposit facility rate with effect from 12 March 2025: 2,50%

↙ = Effect on the economy

THE TRANSMISSION OF MONETARY POLICY



SOURCE: ECB.

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ECB Workshop / Press Review

Activity

- Monetary Policy Workshop : ECB in Key words
- See how to learn all this : current news
- Type « ECB / Monetary Policy / EURO Press article »

Instructions

- groups of 2
- select key words related to Monetary Policy





VIDEO : EU Trade & EU Monetary Policy

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Activity

- VIDEO « ECB explained in 3 minutes” (ECB, 03:15)
- Click on : <https://www.youtube.com/watch?v=IrfPiTftrUg&t=195s>

Instructions

Link the theoretical context with the Business

Today's Top Stories...

<https://www.adobe.com/express/feature/image/qr-code-generator#:~:text=Absolutely.,%2C%20and%20you're%20done.>

(From Free QR-CODE Generator : ADOBE)



[EURACTIV](#) Official News Website

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Monetary Policy / Overview

ONE Monetary *Union* & ONE Monetary Policy

Treaty of Maastricht

ESCB (ECB, Eurosystem/Eurozone, Eurogroup/ EcoFin)

Single Currency

Interest Rates

Exchange Rates

CMU & Banking Union

Monitoring

Surveillance & Prevention



We are HERE !!!

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Exchange Rates

ECB Status

ERM II (1999 as a successor to ERM)

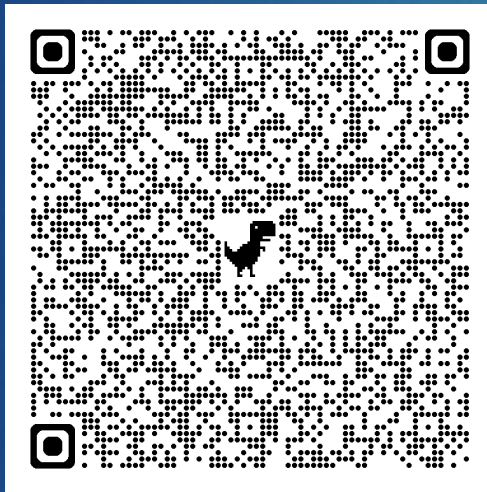
Help non euro-area countries prepare themselves for EURO Changeover
(+/-15% fluctuation band / agreed EURO rate)

FOREX Rate Reference Rates

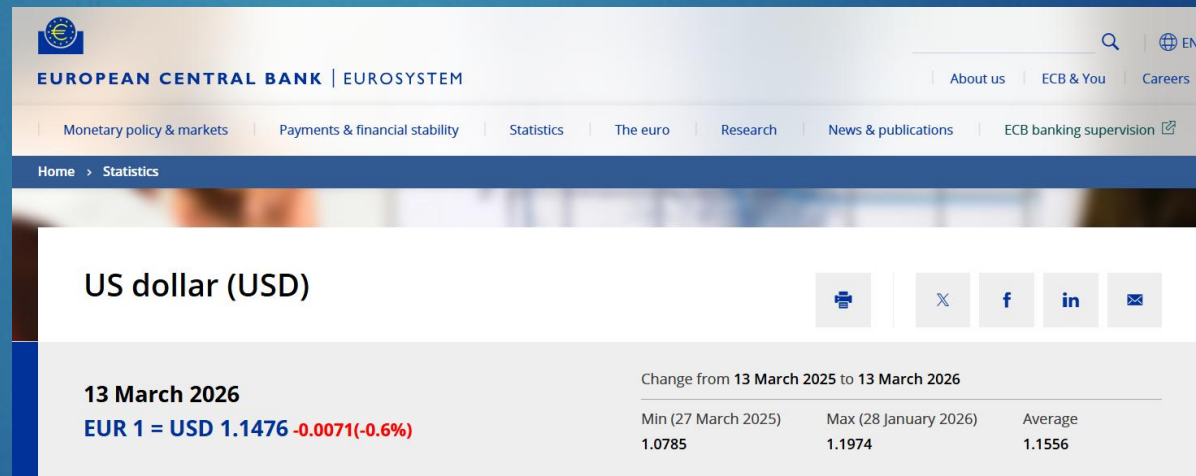
Euro Foreign Exchange Intervention is not a *direct* policy target for the ECB
Eurozone's currency stability

European Business & Economics

Exchange Rates



Click on : [Investing.com](https://www.investing.com)



From : ECB

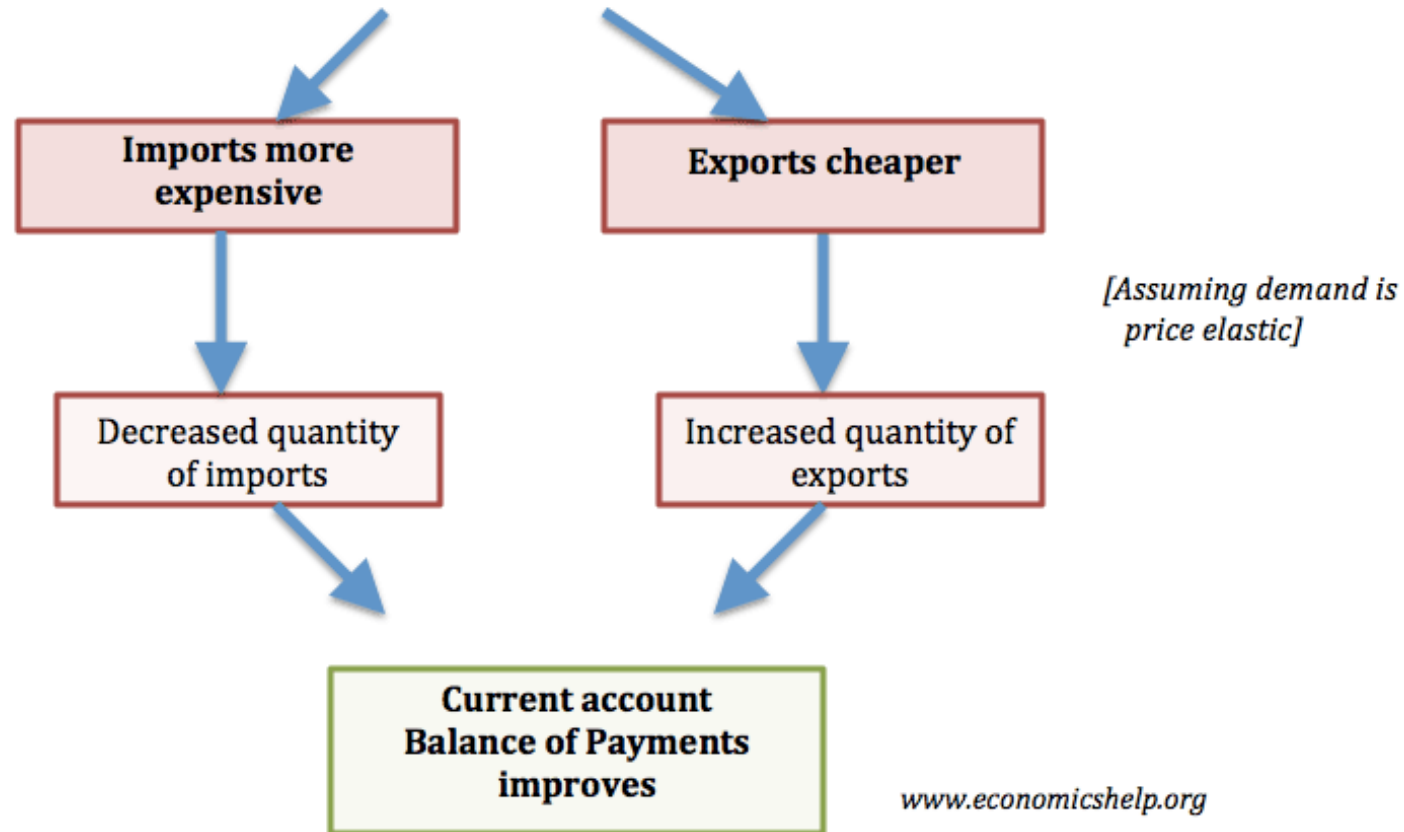
What is happening if EUR
changes either ...or...



Devaluation / depreciation

Winners	Losers
• Exporters • Domestic tourist industry • Workers gaining jobs in export industry • Economic growth might increase • Current account deficit should improve www.economicshelp.org	• Consumers who buy imports • Residents who holiday abroad • Firms who buy imported raw materials • Those on fixed incomes/wages who see inflation rise faster • Foreign exporters/tourist industry

Effect of Depreciation



from : <https://www.economicshelp.org/blog/2089/economics/exchange-rate-and-current-account/>

Click on
CTRL
Picture
for
details

Concretely...

FX EURODOLO today : 1,15 USD/EUR

- Let's assume that the EUR weakens against the USD with 10 %

Calculate the loss in € incurred by a EUR importer buying material for 1 m USD

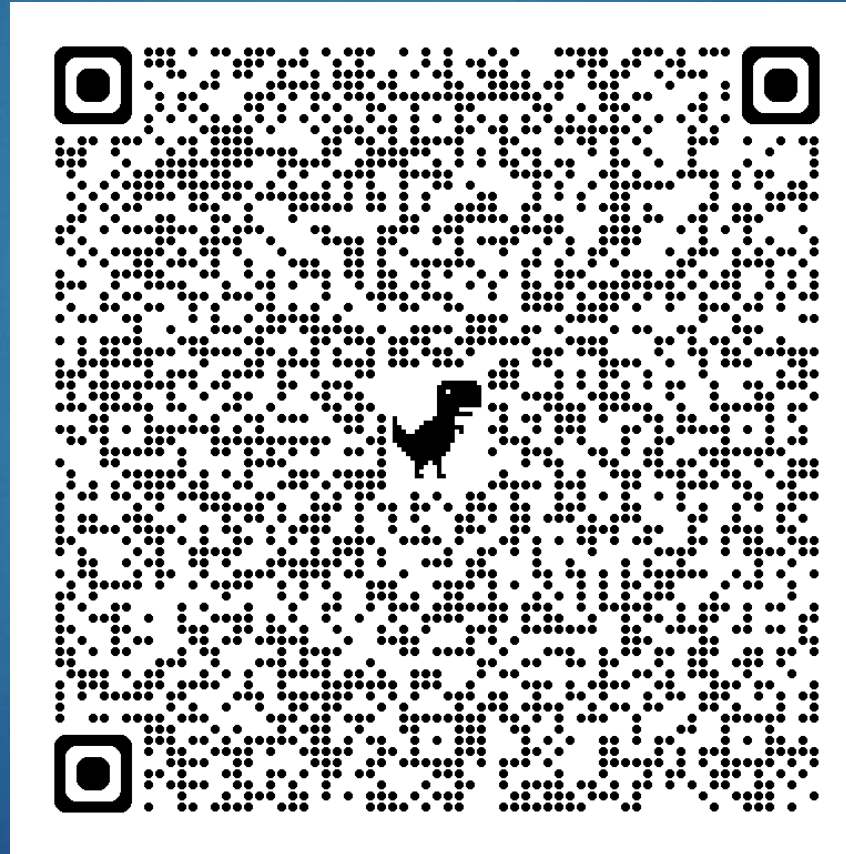
- Let's assume that the EUR strengthens against the USD with 10 %

Calculate the loss in € incurred by a EUR exporter selling materials for 1 m USD if the american buyer refuses to pay more

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FX Real-Time Exchange Rates / EUR – USD LIVE

Click [HERE](#) for
real-time Value
LIVE



European Business & Economics

FX Real-Time Exchange Rates / EUR – USD Converter

Click [HERE](#) for
Conversion
LIVE



From : <https://www.xe.com/currencyconverter/>

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A Weak EURO here (= Depreciation EUR / USD)

For EU tourists there...	For US Tourists here...	For EU firms there...	For US Firms here...
Less EU Tourists there	More US Tourists here	more export, less import	Less US export here
= travelling there costs more	= US better purchasing power	= we are more competitive	= their products are too expensive here

Case Study in EU Business

For EU tourists there...	For US Tourists here...	For EU firms there...	For US Firms here...
1000 EUR to spend From 1/1,0649 to 1/1.0615 USD - To spend in the USA From 1063,5 to 1061,5 USD	1000 US\$ to spend From 1/1,0649 to 1/1,0615 USD To spend in the EU From 1061,5 to 1063,5 USD	Exporting a car 10000 EUR From 1/1,0649 to 1/1,0615 USD We will pay only From 1063,5 to 1061,5 USD	Exporting a car 10000 EUR From 1/1,0649 to 1/1,0615 USD We will have to pay From 1061,5 to 1063,5 USD
= life is more expensive there	= life is cheaper for them here	= EU products less expensive in US	US products more expensive here

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A Strong EURO here (= an Appreciation EUR / USD)

For EU tourists there...	For US Tourists here...	For EU firms there	For US Firms here...
More EU Tourists there	Less US tourists here	= more import, less export	= less US Export here
= travelling there costs less	= travelling here costs US more	= US products are less expensive	Less US products, too expensive here

Case Study in EU Business

For EU tourists there...	For US Tourists here...	For EU firms there...	For US Firms here...
1000 EUR to spend From 1/1,0615 to 1/1.0649 USD - To spend in the USA From 1061,5 to 1063,5 USD	1000 US\$ to spend From 1/1,0615 to 1/1.0649 USD To spend in the EU From 1063,5 to 1061,5 USD	Exporting a car 10000 EUR From 1/1,0615 to 1/1.0649 USD We will pay only From 1063,5 to 1061,5 USD	Exporting a car 10000 From 1/1,0615 to 1/1.0649 USD We will have to pay From 1063,5 to 1061,5
= life is cheaper for me there	= it costs more for them here	= US products less expensive there	= US products are less expensive here

European Business & Economics

Assignment

- Preparation in Class / Presentation in Class
- EURO Currency : what does Europe do for your daily life...
- In groups of 2 or 4

Instructions

- Google some info about the use of the EURO in your everyday life ... and consequences of Δ €
- follow the next slide
- Brainstorm the advantages or dangers for you (holidays, investments, bank loans, savings account...)

The EURO AND EU FINANCIAL INTEGRATION

European Business & Economics

Banking & Financial Services

Freedom to provide services & Free movement of capital

2008 Crisis & the banking sector

Banking sector in Europe

stronger prudential requirements for banks
improved protection for depositors
rules for managing failing banks

**Protecting
Your Money !!!**



From : https://economy-finance.ec.europa.eu/euro_en

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Financial Integration

Avec la France, une coalition de six pays européens d'accord pour une autorité boursière supranationale unique

Par **Florentin Collomp**, correspondant à Bruxelles

Il y a 14 heures

Avec la France, une coalition de six pays européens d'accord pour une autorité boursière supranationale unique

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Financial Integration

« La souveraineté financière de l'Europe passe par les eurobonds »

Seul un actif souverain commun permettrait d'élargir et d'approfondir les marchés de la dette européenne, constate Jézabel Couppey-Soubeyran dans sa chronique. Les Etats de la zone euro pourraient réduire le coût de leurs emprunts.

« La souveraineté financière de l'Europe passe par les eurobonds »

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ECB Macprudential Policy

Banking Union (2014)

Single Supervisory Mechanism (SSM) & Resolution Mechanism (SRM)

Eurozone Supervisor

Financial system's resilience to shocks

EU Regulatory Framework

Prevention contagion risks

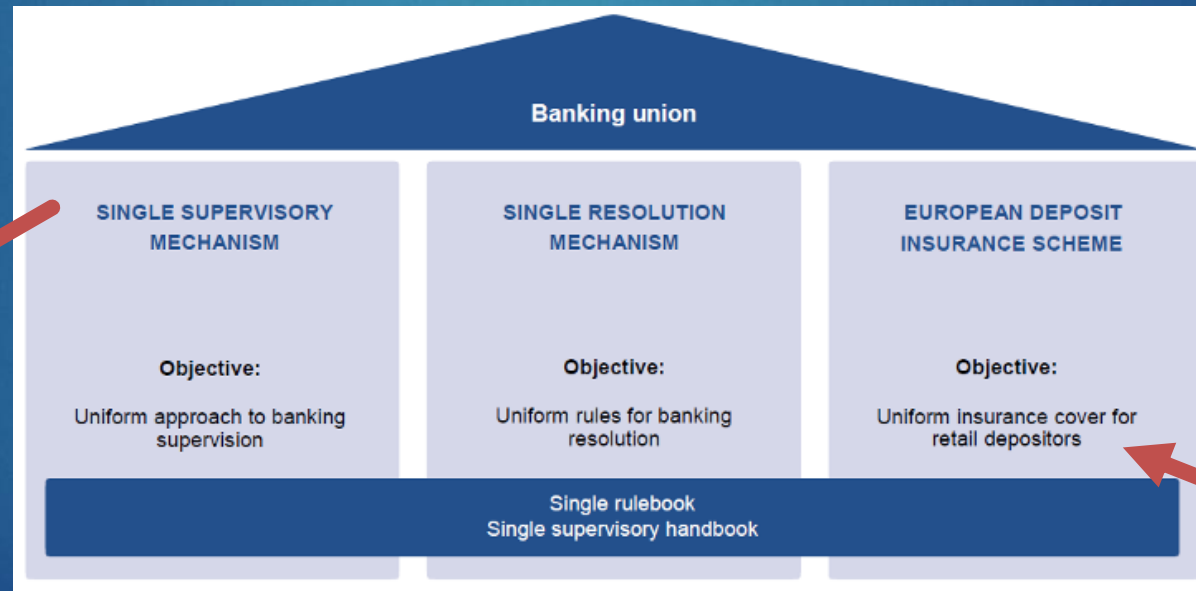
ECB's Supervisory Board crisis meeting

Shared Competences

**Protecting
Your Money !!!**

European Business & Economics

Banking Union



Your Money !!!

From : <https://www.oenb.at/en/financial-market/three-pillars-banking-union.html>

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ECB Banking Supervision (see ECB)



From : <https://www.youtube.com/watch?v=n2t0Wt9hGUc> (ECB, 02:51)

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Assignment: EUR financial crisis

Instructions

- Search on the web one or two important Facts & Dates in EUR financial crisis
- Relate them to our explanations (macroeconomic governance under EMU)
- Pay attention to the link of this fact / date with other elements in the EMU timeline



Go to...

<https://www.adobe.com/express/feature/image/qr-code-generator#:~:text=Absolutely.,%2C%20and%20you're%20done.>

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[Business, Economy, EURO](#)
EU Commission Official Website

Refer to...

<https://www.bundesfinanzministerium.de/Content/EN/Standardartikel/Topics/Europe/Articles/euro-abc.html>

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[**EURO A - Z**](#) Official News Website

Today's Top Stories...

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(From Free QR-CODE Generator : ADOBE)



Extra Activity

Activity

- VIDEO « What a sinking Euro means for Europe & the US » (DW, 17:52)
- Click on : <https://www.youtube.com/watch?v=gCi57qmnpxc&t=13s>
- See Moodle

Instructions

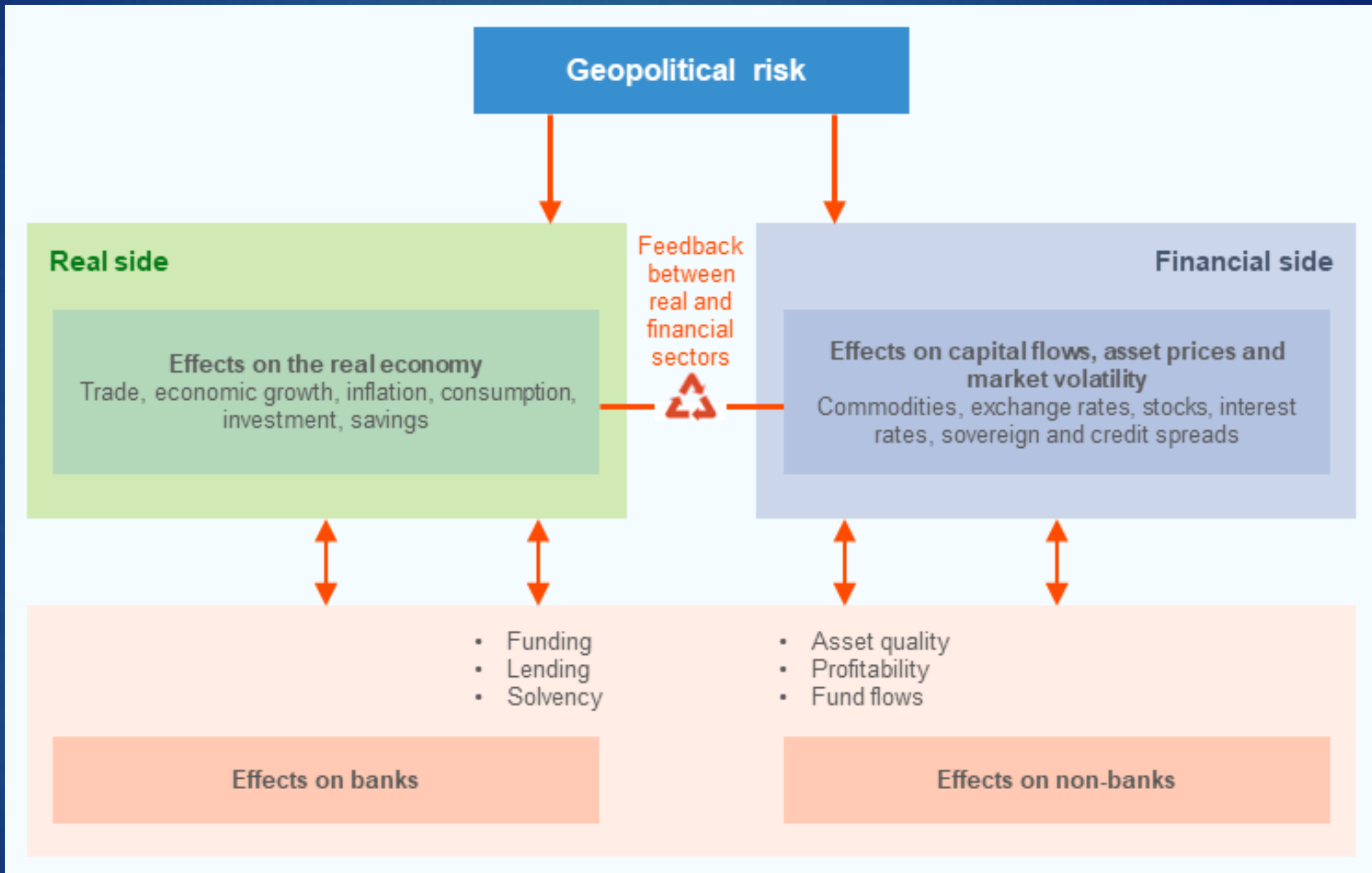
- Watch this summary of the Eurozone Governance (Handout p 32 and 33)
- Make notes and **UPDATE the INFO** but mechanisms are well explained !!!
- Make a link after the explanation with the theoretical context

European Business & Economics

Extra

Geopolitical uncertainty and Economics





European Business & Economics

Is Geopolitics interesting for
You/EU now ...?...



BCE : statu quo monétaire face à l'incertitude géopolitique

13/03/2026 à 17:10

Pour la sixième réunion consécutive depuis la dernière baisse de taux en juin 2025, la Banque centrale européenne (BCE) devrait maintenir son taux de dépôt à 2%. Malgré le conflit au Moyen-Orient, qui génère des risques haussiers sur l'inflation et baissiers sur l'activité, la BCE ne devrait pas modifier sa politique à court terme.

L'ampleur et la durée du choc d'offre lié aux perturbations sans précédent dans le détroit d'Ormuz restent trop incertaines pour justifier une réaction immédiate. La banque continuera néanmoins de surveiller de près leurs effets potentiels, en particulier sur les anticipations d'inflation.

European Business & Economics

Is Geopolitics interesting for
You/EU now ...?...

Les banques centrales face à leurs démons au cours d'une semaine riche en réunions

13/03/2026 à 13:13

La guerre au Moyen-Orient et la flambée des prix de l'énergie qui en a découlé placent les banques centrales, qui ont encore en mémoire la crise inflationniste de 2022, dans une situation délicate.

Les opérateurs chercheront des réponses à leurs questions sur la manière dont **le conflit pourrait affecter la politique monétaire lors des réunions des banques centrales** qui se tiendront dans les prochains jours, notamment celles de la Réserve fédérale américaine (Fed) et de la Banque centrale européenne (BCE).





Pascaline DELA FAILLE

CREDENDO; March 12, 2026

From : lecture March 12, 2026 / BECI Avenue Louise 500 Brussels

Global country risk picture

High geopolitical and conflict risks

- > **Middle East:** Iran war and regional escalation
- > **Ukraine** war, limited EU defense capacity
- > **Asia:** high conflict risks (**Taiwan**, North Korea, South China Sea, India-Pakistan)
- > **Africa:** political instability (series of ... -western ... is, climate risis)

Credendo's political violence risk



Low High

GLOBAL RISK ATLAS

Credendo warns of ongoing conflicts and their impact on international trade

READ MORE →

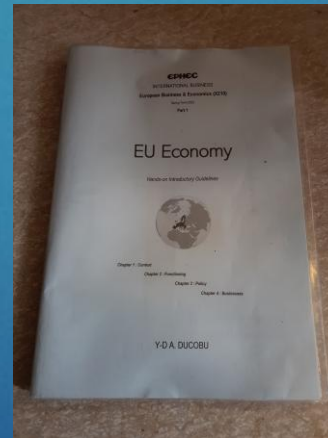
FIND WHAT YOU NEED SOLUTIONS COUNTRY RISK KNOWLEDGE HUB CONTACT



From : <https://credendo.com/en>

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Ch 2 FUNCTIONING / *From Monetary to Fiscal Policy*



Next time...